most OECD markets and capital appreciation stopping on account of the yields not declining much any longer, pension investment in bonds and bills is likely to see a further drop.

The emergence of alternative assets in the portfolio of pension funds is transforming the way pension funds are managed and returns generated on the asset portfolio. A number of large pension funds have built up considerable investment capability inhouse to make investment in infrastructure and real-estate assets.

Global pension funds are branching out to emerging markets in search of yields. India has also received investments from American and Canadian pension funds.

India is at the tipping point as far as the pension industry is concerned. With NPS close to reaching the Rs 7 lakh crore mark in investible funds and EPFO crossing Rs 15 lakh crore, the size of the pension fund industry investible corpus is nearing 10 per cent of GDP.

As explained above, at present, almost all the pension fund corpus is invested in government securities. While the global pension industry has moved more than 50 per cent of its investible corpus to equity markets, private equity, real-estate assets and infrastructure financing, the Indian pension industry hardly has any exposure to equity and alternate assets. This is a waste of opportunity. Further, as India is also bound to get into a low interest yield economy on bond and other debt assets, pension funds will find it difficult to earn a decent return for their members if they remain focused only on government securities.

India’s financial regulators—RBI, IRDA and PFRDA—are too conservative. The investment pattern they prescribe almost rules out equity investment. There is no recognition of the role their regulated entities can play in the development of infrastructure, a manufacturing base, service enterprises and start-ups in the country. PFRDA is as conservative as IRDA. The pension regulatory system and pension fund administration need to be